

**BEFORE THE
FEDERAL MARITIME COMMISSION**

S.P.F. LOGISTICS, INC.,

Complainant,

v.

HAPAG-LLOYD AG,

Respondent.

DOCKET NO. 24-24

**MEMORANDUM IN SUPPORT OF RESPONDENT’S MOTION FOR
SUMMARY JUDGMENT**

Respondent Hapag-Lloyd AG (“Respondent”) submits this memorandum in support of its Motion for Summary Judgment (“Motion”). The required statement of undisputed material facts is attached hereto as Exhibit #1.

I. Legal Standard

The Federal Maritime Commission (the “Commission”) has no procedural summary judgment rule, and thus the Commission follows the Federal Rules of Civil Procedure and pertinent case law when deciding motions for summary judgment. *See* 46 C.F.R. § 502.12; *Maier Terminals, LLC, v. The Port Auth. Of New York and New Jersey Served Order Granting in Part and Denying in Part Respondent’s Motion for Summary Judgment*, Docket No. 08-03 at *4 (FMC 2013).

Under the Federal Rules of Civil Procedure, summary judgment must be granted if (i) no genuine dispute of material fact exists, and (ii) the moving party is entitled to judgment as a matter

of law. Fed. R. Civ. P. 56(a). At the summary judgment stage, the judge’s function is not to weigh the evidence and determine the truth of the matter, but to determine whether there is a genuine issue for trial. *Anderson v. Liberty Lobby, Inc.* 477 U.S. 242, 249 (1986). A dispute over a material fact is genuine if “the evidence is such that a reasonable jury could return a verdict for the nonmoving party.” *Id.* at 248. With respect to materiality, only disputes over facts that might affect the outcome of the suit under the governing law will properly preclude the entry of summary judgment. *Id.*

II. Summary Judgment Should Be Granted because the Commission Lacks Subject Matter Jurisdiction Over the Dispute

Summary judgment should be granted with respect to Complainant’s claims because the conduct that underlies the basis for the Complaint relates to the inland movement of merchant haulage shipments (i.e., those movements where “the customer takes responsibility for arranging and paying the cost of transporting the cargo between an inland facility and the port” *Intermodal Motor Carriers Conference v. OCEMA*, Docket No. 20-14, 2024 WL 641501 at *3 (February 13, 2024)). The Commission lacks jurisdiction over carrier-trucker relationships related to the inland portion of merchant haulage moves, and therefore the Commission lacks subject matter jurisdiction over the Complaint.

The Commission has specifically stated that it does not have subject matter jurisdiction over matters that arise from carrier-trucker relationships that are part of the inland portion of a merchant haulage move. In its final rule on demurrage and detention billing requirements, the FMC stated:

...presumably the FMC’s jurisdiction, and thus this rule, would apply only to cargo moved inland under a through bill of lading and contracts between a VOCC. A motor carrier not based on a through bill of lading would likely be outside the scope of this rule.

Demurrage and Detention Billing Requirements, 89 Fed. Reg. 14330 at 14336 (February 26, 2024). The FMC went on to clarify the foregoing statement in *Demurrage and Detention Billing Requirements, Final Rule Correction*, 89 Fed. Reg. 39569, 39570 (May 9, 2024), where it said:

The Commission's explanation in the preamble was intended to further explain that the rule only addresses carrier-trucker relationships on through bills of lading. The Commission meant this to be understood in the context of its statement that '*the FMC's jurisdiction*, and thus this rule, would apply only to cargo moved inland under a through bills of lading . . .

(emphasis added). The Commission then revised the commentary that accompanied the original rule (and which is quoted above) to read:

...we presume that the FMC's jurisdiction would apply only to cargo moved inland under a through bill of lading and that contracts between a VOCC and a motor carrier not based on a through bill of lading would likely be outside the scope of this rule.

89 Fed. Reg. at 39570.

The shipments that are the basis of this Complaint were all merchant haulage moves. See Exhibit #1 (Statement of Undisputed Fact); Exhibit #2 (Bills of Lading for the shipments at issue, showing that Respondent's responsibility for transport ended at the port of discharge). The conduct that is the subject of the Complaint relates to the inland portion of the shipment. Specifically, the return of empty containers by a motor carrier at the Port of Long Beach. See Complaint at ¶ 11, 36. There is no genuine issue of material fact in this proceeding because (i) the conduct underlying the Complaint relates to the carrier-trucker relationship as part of the inland portion of a cargo shipment, and (ii) the Commission lacks subject matter jurisdiction over the inland portion of a merchant haulage move. Therefore, Respondent is entitled to judgment as a matter of law, and summary judgment in favor of Respondent should be granted with prejudice with respect to the entirety of the Complaint.

III. Conclusion

For the foregoing reasons, summary judgment should be granted with prejudice in favor of Hapag-Lloyd AG.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Wayne R. Rohde", written in a cursive style.

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